

Recording Mortgages - Timing Matters

Mortgages are recorded at the recorder's office in the county where the property is located. Recording a document provides the public with notice that the property is encumbered. All documents impacting the interests and title to a property should be recorded.

Generally the priority of a lien (and a mortgage is a lien) is determined by its date of recording. You may hear the phrase "first in time is first in line" related to this concept. The **first mortgage** to be recorded is called, appropriately enough, a first (or senior) mortgage. Should the homeowner require a **second mortgage**, this is also recorded, and is placed in junior (subordinate) position to the first mortgage. When a property is foreclosed on, first mortgage holders are paid first, and if anything is left over, the junior mortgage holder is paid.

It is possible for the junior lienholder to move into first position if the first lender signs a **subordination agreement**. Why would a first position lender ever agree to move into second position? It happens all the time. Let's say, for instance, that your client Jim wants to refinance his home. Jim has a mortgage from Banker A for \$200,000 and is paying a higher interest rate than he could get in today's market. He also has a \$50,000 home equity line of credit (HELOC) with a favorable interest rate from another lender (we'll call this lender Lender H). When he refinances with Banker B, he wants to keep his HELOC in place. To refinance with Banker B, he will take out a new \$200,000 loan and use it to pay off Banker A, which would move the Lender H (the HELOC lender) into first position. But Banker B is unwilling to make a \$200,000 loan and be placed in second position, so Banker B asks Lender H to sign a subordination agreement. Provided there is enough value in the home to cover both loans, it is likely Lender H would agree.

If a tax lien is placed on a property, it may take priority over some junior lienholders, but the first (or senior) mortgage often retains the top priority spot.